

SECTION 1: STANDARD OPERATING PROCEDURE (SOP) FOR LOAN PROCESSING

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Applicability: Retail Lending Division, Pan-India Operations

1.1 End-to-End Loan Lifecycle Process Flow

The processing of any retail loan application within FinAssist Bank must strictly adhere to the following chronological sequence. Any deviation will trigger an automated compliance alert in CloudWatch.

1. **Lead Generation & Application Ingestion:** Customer submits the retail loan application via the internet banking portal or physical branch along with self-attested KYC documents.
2. **Initial Document Scrutiny:** The Credit Officer checks the completeness of the documents against the Master KYC Checklist (Section 3). If any deficiency is found, the status is updated to "Awaiting Documents" and an email notification is dispatched.
3. **Credit Bureau Fetch (CIBIL Validation):** The system executes an automated API call to TransUnion CIBIL to extract the Credit Information Report (CIR) and numeric credit score.
4. **Underwriting & Risk Assessment:** The application is evaluated based on the specific loan matrix (Income-to-Debt Ratio, Collateral Value, and CIBIL Tier).
5. **Pre-Sanction Inspection:** For secured loans, a designated bank official or certified third-party vendor conducts a physical/digital valuation of the asset or property.
6. **Sanction or Rejection Decision:**
 - a. *Sanction:* If eligible, a formal Sanction Letter outlining the Approved Amount, Interest Rate (EBLR linked), and Tenure is issued.
 - b. *Rejection:* A formal rejection letter specifying the clear regulatory or risk-based reason must be sent within 48 hours.
7. **Document Execution & Disbursal:** The borrower executes the Loan Contract, submits NACH/ECS mandates for auto-debit, and funds are disbursed directly into the verified bank account.

SECTION 2: CREDIT MATRIX, LOAN PRODUCTS & INTEREST RATES

FinAssist Bank operates on an **External Benchmark Lending Rate (EBLR)** pricing framework. The current base EBLR is fixed at **8.00% per annum**. The final Rate of Interest (ROI) is calculated as:

$$\{ROI\} = \{EBLR\} + \{Risk\ Premium\ Risk\ Spread\ (based\ on\ CIBIL\ Tier)\}$$

2.1 Personal Loan (Unsecured Credit)

- **Maximum Quantum:** ₹15,00,000
- **Maximum Repayment Tenure:** 60 Months (5 Years)
- **Risk Margin Matrix:**

CIBIL Score Tier	Risk Premium / Spread	Effective ROI (Per Annum)	Risk Category	Action Required
800 and above	EBLR + 2.50%	10.50%	Minimal Risk	Auto-Approve Tier 1
750 to 799	EBLR + 3.25%	11.25%	Low Risk	Standard Review
700 to 749	EBLR + 4.50%	12.50%	Medium Risk	Higher Authority Sign-off
650 to 699	EBLR + 5.50%	13.50%	High Risk	Requires Co-applicant
Below 650	N/A	Rejected	Unacceptable	Automatic System Decline

2.2 Individual Home Loan (Secured Credit)

- **Maximum Quantum:** Dependent on property valuation and LTV (Loan-to-Value) limits.
- **LTV Caps:** Up to ₹30 Lakhs (90% LTV); Above ₹30 Lakhs to ₹75 Lakhs (80% LTV).
- **Risk Margin Matrix:**

CIBIL Score Tier	Male Borrower ROI	Female Borrower ROI (Concession Applied)
750 & above	EBLR - 0.85% = 7.15%	EBLR - 0.90% = 7.10%
700 to 749	EBLR - 0.25% = 7.75%	EBLR - 0.30% = 7.70%
650 to 699	EBLR + 0.00% = 8.00%	EBLR - 0.05% = 7.95%
Below 650	EBLR + 1.35% = 9.35%	EBLR + 1.30% = 9.30%

SECTION 3: MASTER KYC & DOCUMENTATION POLICY

As per RBI guidelines, No retail loan account can be activated without completing the Customer Due Diligence (CDD) through Officially Valid Documents (OVDs).

3.1 Identity and Address Proof (Any one OVD required)

1. **Aadhaar Card** (With obscured/masked first 8 digits as per privacy guidelines).
2. **Passport** (Must be valid, unexpired).
3. **Permanent Account Number (PAN) Card** (Mandatory for tax track and income mapping; acts as identity proof only).
4. **Voter Identity Card** issued by the Election Commission of India.
5. **Driving Licence** (Must not be expired).

3.2 Income Verification Documents

- **For Salaried Employees:**
 - Salary Slips for the last 3 consecutive months.
 - Form 16 document for the previous 2 financial years.
 - Salary Account Bank Statement for the past 6 months showing consistent payroll credits.
- **For Self-Employed / Business Individuals:**
 - Income Tax Returns (ITR) with complete computation sheets for the last 3 assessment years.
 - Audited Balance Sheet and Profit & Loss Statement certified by a registered Chartered Accountant (CA).
 - Business Current Account Bank Statement for the last 12 continuous months.

SECTION 4: LOAN DISCIPLINE & PENALTY GUIDELINES

- **Late Payment Charges:** If the Equated Monthly Installment (EMI) is not cleared within the stipulated due date, a **penal interest of 2.00% per month** over and above the regular ROI will be levied on the overdue amount.
- **Bounce Charges:** A flat charge of **₹450 per instance** will be debited for any automated NACH/ECS mandate bounce due to insufficient funds.
- **Pre-payment/Foreclosure Penalty:**
 - *Floating Rate Retail Loans:* **NIL Charges** (As per central regulatory mandates).
 - *Fixed Rate Personal Loans:* **3.00% penalty** on the outstanding principal amount if closed before completion of 50% of the loan tenure.